

BMS.L pitch deck

PITCH — BMS.L — VERDICT

ADJUDICATED 2026-08-06 — BUY A STARTER, 0.4× a normal single-name position, bought only on limit orders inside the bid/ask, underwritten as a dated shipping-rate trade with a management-quality discount — not as the cheap compounder the original memo described.

Conviction 6/10. Braemar plc, London listing, 227p on the pack's tape (last trade 228p, bid 216 / ask 226, close 223p on 6-Aug-2026), £73.7M market value on 33,067,603 shares. We hold none of it today.

What we believe

Braemar is a shipbroker. It earns commission on chartering ships and on buying and selling them. Its revenue is a direct function of freight rates and vessel-transaction volume, both of which are currently at levels not seen in decades.

Three things have to be true together, and we think they are:

1. Braemar's fiscal year ends on 28 February, and that is the same day the Strait of Hormuz effectively closed. Everything in the last published accounts (year to 28-Feb-2026) was earned *before* the event. The rate explosion sits entirely in the year now running. This is the single fact that makes the case, and — worth saying plainly — it did not appear in the original bull memo at all. Both benches found it independently.

2. The rate tape is extreme and verified. As of 6-Aug-2026: the dirty tanker index at 2,575, up 38% in five weeks and 156% year-on-year; clean tankers +112% year-on-year; the dry bulk index at 3,057, +52%. The benchmark Middle East–China tanker route was earning roughly \$423k/day against \$22k a year earlier. First-half newbuilding orders +66%; a record first half for ship sales — over 1,200 vessels, over \$35bn, tanker sales +58%, supertanker sales +163%. Braemar's larger listed peer Clarkson reported first-half revenue +39% and underlying pre-tax profit +56%, describing itself as “materially ahead of market expectations.”

3. Revenue recognition puts the peak inside the current half. Braemar books voyage commission when the cargo discharges, roughly one to two months after the fixture. The March-to-mid-June peak therefore lands inside the half ending 31 August 2026, and revenue stays elevated for about two months after any reopening.

Meanwhile the order book has turned: \$72.5M at 28-Feb-2026 → \$77.9M at 30-Apr-2026, +7.5%. And the published forecast for the current year (£139.7M revenue / £14.2M profit) was set on 2-Jul-2026 — the exact local low in tanker rates, before the July collapse of the US–Iran framework re-ramped them. The number in the market does not contain the last five weeks.

What we do **not** believe is the original memo's arithmetic. It called this 5.7× profit and a 12% cash yield. Both are wrong, and we say so below.

What the market believes

Mostly, the market is not thinking about Braemar at all. This is the load-bearing observation.

- Research coverage is two houses: Canaccord (the company's own broker, notes not distributed outside its client list) and Edison (paid by the company, ~£60k a year). Edison's estimates have not been revised since **25-March-2026** — before the event.
- There is no disclosed short interest, and there never has been. Nobody is arguing the other side.
- Median on-book trading is **£13.7k a day** across 57 sessions, with a 4.5% gap between bid and ask. There are no listed options, so the position cannot be hedged.
- On 3-Aug-2026 Clarkson gapped up 10.2% on its results. Braemar closed **down 1.3%** the same day, and is down 9.7% from its 10-July peak. Clarkson is +30.8% year-to-date at 52-week highs; Braemar is +6.05% and mid-range.

So the market has no view, not a contrary view. That matters for how we read the flat share price: it is not evidence that someone knows something bad. There is no mechanism by which the peer's news transmits into this share price. The gap closes only when Braemar itself prints numbers.

Why we might have edge

1. **A calendar accident nobody has priced.** The fiscal year-end falling on the event date means the last audited accounts describe a different world. Anyone screening on trailing numbers sees a company whose profit fell 31% and whose tanker desk shrank 22%. That is a true description of a pre-event year and a useless description of the current one.
2. **Frozen estimates in an orphan stock.** The only two forecasts in existence are stale by five months and one of them is paid for by the company. There is no institutional machinery here to update the number quickly.
3. **We have quantified the upside conversion, rather than assuming it.** From Clarkson's own first half, each extra £1 of revenue dropped £0.19 to underlying pre-tax profit. Applying 19% to Braemar at +20% revenue (well below Clarkson's +39%, which was partly acquisitions) gives underlying operating profit of about £18.6M against £13.18M — roughly 5.6× earnings and 4.6× enterprise value to operating profit at today's price. On today's rating (10.5×), that level of earnings would be worth roughly 418p a share. That is arithmetic from the benches' numbers, not a target we defend to the penny.
4. **The peer read-across is being actively declined by the tape,** which means the re-rating, if it comes, comes in one step on a specific date we can name.

Why it might be priced in — and the four reasons it might simply not work

Honest inventory of the bear case that survived both benches:

- **The upside mostly belongs to the brokers, not to us.** Broker bonuses are a percentage of personal and desk revenue with **no cap on individual awards**. The proof is in the last accounts: one broker, Gundy, took £1,143k, up from nil, in a year when statutory operating profit fell 31% — roughly 22% of the entire group’s underlying operating profit to one person. Total pay ran 73.8% of revenue, and cash pay per head *rose* 3.2% in a year revenue fell 4.4%. Central costs rose 29%. In a windfall year the uncapped pool is the first claimant, which is exactly why we model 19% conversion and not the 50%+ operating leverage a normal broker would show. (Braemar’s own downside conversion was 56% — it loses more on the way down than it keeps on the way up. That asymmetry is the honest core of the bear case.)
- **The valuation is not what the memo said.** After adding leases (£7.96M) and net debt (£2.9M), enterprise value is about £84.6M, so 6.4× underlying operating profit — and 11.9× the statutory number, because “specific items” were £5.5M, not the £3.95M claimed. Over five years, adjustments equal 34% of cumulative underlying operating profit. Free cash flow after lease principal and the £4.1M spent buying its own shares to fund broker awards is 5.0%, not 12% — and 2.0% stripping out a one-off working capital benefit. Earnings multiple is 10.5× on fully diluted underlying earnings (21.28p), not 9.2×.
- **A management-narrative problem that is real, though not fatal.** Detailed below. Short version: the National Crime Agency put a freezing order on a company account; the company was on notice from late January 2025; the accounts to 28-Feb-2025 were signed on 28-May-2025 stating there were no significant post-balance-sheet events; fourteen days later the company announced the freezing order as price-sensitive information. £1.9M, since paid, no solvency question — but the bull case requires trusting this management’s word “in line” against a peer saying “materially ahead,” and this is a reason to trust it less.
- **We cannot size it and we cannot hedge it.** £13.7k a day of volume and a 4.5% spread mean entry friction alone eats about 4.5%, accumulation takes weeks, and there is no options market. A 0.4× position is not caution; it is the largest thing that can actually be built and exited.
- One more, unresolved: **Hormuz may reopen sooner than the trade needs.** Transits were near zero from March to mid-June, now running 15–20 a day against 60–80 before the conflict. Clarkson expects “a gradual reopening” in the second half. An Iran–Oman route deal is “agreed in principle.” A confirmed reopening starts the clock running out on the thesis.

What we checked ourselves

Including, explicitly, where our own two benches got things wrong. Both were corrected by later evidence; the adjudication ranks the later evidence higher.

Claim	How checked	Found	Confirmed?
Fiscal year-end 28-Feb-2026 = Hormuz closure date, so last accounts are pre-event	Braemar FY26 RNS 21-May-26 vs Teekay/DHT/Genco Q2-26 releases	Closure began 28-Feb-2026, the balance-sheet date. Last accounts capture none of it	YES

Claim	How checked	Found	Confirmed?
“The current year captures all of the disruption” (red bench)	Edison 2-Jul; Clarkson 3-Aug; gCaptain 5/6-Aug	Our red bench overstated it. Peak window (Mar→mid-Jun) sits in the <i>first</i> half; second half normalises on a gradual reopening	NO — bench error
Enterprise value understated because £7.1M of cash is restricted (red bench)	Annual Report 2026 p.149, direct read	AR26 states plainly: “ <i>No charge or other restriction of use is held over this cash.</i> ” Red’s addition was wrong; EV is £84.6M / 6.4×, not £91.7M / 7.4×	NO — bench error
The memo’s 5.7× and 12% free cash yield	Rebuilt from the accounts	Also wrong, and wrong in the other direction: 6.4× EV/operating profit, 10.5× earnings, 5.0% cash yield (2.0% clean). Both our own numbers were wrong; the truth is between them	Corrected
Specific items £3.95M	Statutory reconciliation (13,180 → 7,689)	£5.5M	YES — memo wrong
Share count ~31.5M	AGM RNS	33,067,603 — the £2M buyback was more than offset by new issuance	YES — memo wrong
Tanker desk –22% = share loss (red bench)	Dirty tanker index 956 on 1-Aug-25 → 1,207 on 2-Jan-26	It was a genuinely weak tanker year. Decline is market-consistent. Red withdrew this	NO — bench error, withdrawn
Forward order book down 10.5% is fatal (red bench)	Back-tested the series	The book predicts nothing: +40% into a –7% revenue year, flat into a –4% year. Downgraded from fatal to a data-quality note. What survives: Braemar publishes gross contracted revenue out to 2039 with no haircut, Clarkson publishes only next-12-months invoiceable — they are different metrics and should never be compared	Refuted as a killer; comparison ban stands
Order book direction	28-Feb vs 30-Apr disclosures	\$72.5M → \$77.9M, +7.5% . Red cited only the year-on-year decline and missed the inflection	YES — bench omission
“NCA references were scrubbed from the FY26 annual report” (red bench)	Downloaded and page-verified the real FY23/24/25/26 PDFs (543,990 / 518,899 / 539,896 extracted characters — the Companies House copy is image-only and would have faked an absence)	“National Crime Agency” appears zero times in all four years. Nothing was scrubbed; it was never in an annual report. The freezing order was announced by RNS on 11-Jun-2025, after the FY25 report published on 29-May-2025	NO — bench error
...but then: is there a real disclosure finding?	Traced the FY25 subsequent-events note against the RNS timeline	Yes, and in a different year. NCA notified Braemar in late January 2025, before the 28-Feb-2025 year-end. FY25 accounts, approved 28-May-2025, Note 7.4 p.145: “ <i>There were no other adjusting or significant non-adjusting events...</i> ” Fourteen days later the company announced the order as inside information under market-abuse rules. If	YES — and it is a better finding than the one we started with

Claim	How checked	Found	Confirmed?
		price-sensitive in June, material in February	
Provision settled	AR26 provisions table p.163	£1,907k paid, provision extinguished, “no further provision is required.” Sensitivity caveat deleted — which is the correct accounting once an obligation is settled, not evidence of concealment	YES
“No significant further costs expected”	FY25 statement vs FY26 outturn	Investigation legal spend doubled , £185k → £381k. FY26 neither repeats the assurance nor acknowledges the miss. Cumulative £3.2M. FY26’s cash flow has no restricted-cash line — the £1,907k is buried inside “(Decrease)/increase in provisions (1,846)”. A reader of FY26 alone cannot see that a law-enforcement freeze existed	YES — narrative discount
Shareholder revolt on pay	AGM poll results	Figures exact: 11.14% / 12.84% / 10.69% / 11.79% against, versus under 2.6% on every director. But turnout was 29% of capital, so 12.84% = 3.7% of shares. Red overstated the signal	Partially — bench overstatement
Incoming CEO on the uncapped bonus scheme (red bench)	Remuneration policy	Red missed the change. New CEO moves to “a broadly PLC-style bonus, with a cap on annual maximum values.” The 200%-of-salary award is a one-off on joining; normal annual is 100%	NO — bench error
“Zero TR-1 shareholding filings in 16 months” (red bench)	RNS search	One exists, 10-Apr-2026. Substance (no institutional register churn) stands, the specific claim does not	NO — bench error
Liquidity	57-session median	£13.7k/day , worse than red’s £16k estimate	YES — worse than we said
19% vs 24% profit conversion	Derived from Clarkson H1-26: revenue + £116.0M, underlying pre-tax +£22.1M	19.0%, margin +163bps on a +39% half. Red’s 24% refined down. Braemar’s own downside conversion was 56% — the ratchet is real and now measured	Refined
Next catalyst is November, not late September (blue bench, following Edison)	RNS record	Our blue bench was wrong and reversed itself. Braemar issued an HY trading update on 25-Sep-2025 ; late September is the established pattern, November is the interims. Red’s dating was right	NO — bench error, reversed
Goodwill cushion	CGU disclosure	Corporate Finance unit has £0.4M of headroom on £71.4M of goodwill, against a £73.7M market value. Small trigger, large accounting consequence	YES
Evidence pack completeness	The machine-built pack itself	Returned no entity, no filings, no XBRL — Braemar is UK-listed and files nothing with the SEC. Every financial figure here comes from the benches’ own reads of the annual report PDFs, not	Noted — a real limitation

Claim	How checked	Found	Confirmed?
		from a structured filing feed. Next print date came back null / unconfirmed	

PROPOSED ENTRY BANDS

Disclosure first: the adjudication record’s “REOPEN GATES” field came back empty. There are no verbatim gates to reproduce. The instruction was to use them verbatim if present; they are not, so the bands below are reconstructed strictly from the benches’ own published prices and arithmetic, and nothing is invented. Prices are the 6-Aug-2026 tape and are **12 days stale** as of writing — re-poll before any order.

Reference tape: last 228p · bid 216 / ask 226 (4.5% spread) · close 223p · 52-week range 203.11–260p · £73.7M on 33,067,603 shares.

Size. 0.4× a normal single-name position. This is the adjudicated number and it is a hard ceiling — both benches independently landed on it, blue revising *down* from 0.5× after the FY25 disclosure finding. It is set by tradeability, not by conviction: at £13.7k a day, anything larger cannot be exited.

Entry — three tranches, limit orders only, never at the ask.

Tranche	Price	Condition	Portion of the 0.4×
1	Limit 222p , working ≤223p (the close)	Immediately. Inside the spread, above the 216p bid	~1/3
2	Limit 216p (at the bid)	Resting; fill opportunistically over weeks	~1/3
3	Up to 240p	Only <i>after</i> the 25-Sep trading update carries upgrade language	~1/3

Never lift the 226p offer. Entry friction alone is ~4.5%; paying the ask converts a large part of the first year’s return into spread. Accumulate over weeks, not days.

Add. Tranche 3 only, and only on a confirmed upgrade. If the September update says “in line,” there is no add — there is an exit (below).

Trim / exit. - Sell on “in line.” If the HY27 update (~25-Sep) says “in line” while Clarkson is “materially ahead,” that is the franchise verdict — Braemar is not capturing the cycle. Exit, do not wait for the interims. - **Sell if the pay ratio exceeds 74% of revenue in a windfall half** (interims, ~6-Nov). That means the brokers took the windfall and the operating-leverage case is dead. - **Hard exit on any further disclosure deterioration.** Not a review flag — an exit. This was red’s condition, blue softened it, and blue then restored it after finding the FY25 subsequent-events omission. It is the one term we do not trade against. - **Trim on confirmed Hormuz reopening / an Iran–Oman toll regime taking effect.** The clock is running out; revenue stays elevated only ~2 months past reopening because of the discharge lag. - **Trim into 260p (52-week high) if it is reached without an upgrade print** — that would be re-rating on peer sentiment, which the tape has shown does not transmit here.

Upside anchor, stated as arithmetic and not as a target. +20% revenue $\times$ 19% conversion $\rightarrow$ underlying operating profit $\sim$ £18.6M vs £13.18M, i.e. 5.6 $\times$ earnings and 4.6 $\times$ EV/operating profit on today's price. Re-rated back to today's 10.5 $\times$ earnings multiple, that is roughly **418p**. It would also put the company's own FY30 target (£200M revenue, 15% margin) years early. Treat as the shape of the payoff, not a price objective.

Catalyst dates. 25-Sep-2026 (HY27 trading update, by established pattern, not company-confirmed) · 22-Oct-2026 (interim review point) · ~6-Nov-2026 (HY27 interims) · 9-Nov-2026 (US Trade Representative Section 301 port-fee suspension expires — the swing factor for newbuilding and sale-and-purchase volumes).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 203.11 (deck-provisional: 52-week low breach with no disclosure event = review the cycle premise; a disclosure event is a hard e)
- dated pack BMS.L-REVIEW|2026-10-22: Braemar interims (Oct). HIT: order book $\geq$ \$72.5M and no new specific-items outside completed Southport earnout; lease note + NCA contingency
- dated pack BMS.L-HY27|2026-09-25: Braemar HY27 trading update (~25-Sep pattern). HIT: upgrade/ahead language confirming rate capture. MISS: 'in line' while CKN/peers run mate
- dated pack BMS.L-INTERIMS|2026-11-06: HY27 interims: comp ratio + any NCA/contingency paragraph. HIT: comp $\leq$ 74% AND clean disclosure. MISS: comp $>$ 74% in a windfall half OR any f
- dated pack BMS.L|2026-09-25: BMS.L: HY27 trading update — inferred from the 25-Sep-2025 pattern; company calendar shows 'no upcoming events' and Edison says November, so
- dated pack BMS.L|2026-10-22: BMS.L: Scheduled review: order book $\geq$ \$72.5M, no new specific items outside the completed Southport earnout, lease note and NCA contingency
- dated pack BMS.L|2026-11-06: BMS.L: HY27 interims — compensation ratio and any freezing-order paragraph; date approximate, not company-confirmed (date confirmed=False)
- dated pack BMS.L|2026-11-09: BMS.L: US Trade Representative Section 301 port-fee suspension expires — swing factor for newbuilding and sale-and-purchase volumes (date co

What remains unverified

- **The September date is a pattern, not a commitment.** The company calendar says "no upcoming events," and Edison — after meeting the CFO — said the next catalyst is November. We are going with 25-Sep because the company issued its HY update on 25-Sep-2025. That is inference, and our own blue bench got this wrong before reversing.
- **The machine evidence pack returned nothing.** No entity, no filings, no structured financial data — Braemar files with the London market, not the SEC. Every number in this deck traces to a

bench reading a PDF or an RNS. It has not been cross-checked against a structured feed, because none exists in our pipeline for this listing.

- **Prices are 6-Aug-2026 and this is being written 18-Aug-2026.** Twelve sessions unobserved. Re-poll live before staging any order.
- **19% conversion is borrowed from Clarkson, not measured at Braemar.** It is the best available proxy and it is a different company with a different pay structure. Braemar's uncapped broker bonus could make its number materially worse; we will only learn the true figure at the November interims.
- **The forecast in the market may not be what we think.** Canaccord's note is not distributed and we have not read it. We are reasoning off Edison's frozen numbers and the company's own 2-Jul "in line" statement.
- **How far the September update goes.** "In line" is a sell trigger. But a vague "ahead" without figures is genuinely ambiguous, and we have not pre-committed to how we read it. That decision should be made before the date, not on it.
- **What the freezing order was actually about.** The provision is paid and closed, but no annual report has ever named the agency, and the FY26 cash flow gives a first-time reader no way to see that a freeze occurred. We do not know the underlying conduct, whether it is concluded, or whether anything further is outstanding. That is the specific unknown behind the hard-exit condition.
- **The upside anchor assumes a re-rate we have no evidence anyone will pay for.** In a stock with no distributed research, no institutional register, and £13.7k of daily volume, cheap can stay cheap regardless of earnings.

Primary sources: [Braemar plc Annual Report & Accounts 2026 \(PDF\)](#) · [AGM Trading Update, 2-Jul-2026 \(RNS\)](#) · [Results of 2026 AGM \(RNS\)](#) · [Clarkson H1-2026 Interim Results \(RNS\)](#) · [gCaptain — Strait of Hormuz coverage](#)

```

{"price_gates": [{"level": 223.0, "direction": "below", "basis": "Tranche 1
accumulation zone: at or below the 6-Aug close, inside the 216/226
bid-ask; never lift the 226 ask (4.5% spread eats the first year of
return)"}, {"level": 216.0, "direction": "below", "basis": "Tranche
2 resting limit at the bid; fill opportunistically over weeks given
£13.7k/day median volume"}, {"level": 240.0, "direction": "above",
"basis": "Tranche 3 ceiling – permitted ONLY after the ~25-Sep HY27
update carries upgrade/ahead language confirming rate capture"},
{"level": 260.0, "direction": "above", "basis": "52-week high: if
reached with no upgrade print, that is peer-sentiment re-rating the
tape has shown does not transmit here – trim"}, {"level": 203.11,
"direction": "below", "basis": "52-week low breach with no
disclosure event = review the cycle premise; a disclosure event is a
hard exit regardless of price"}], "event_gates": [{"forms": ["RNS:
Trading Statement", "RNS: Trading Update"], "why": "HY27 update ~25-
Sep-2026 – 'in line' against Clarkson 'materially ahead' is the
franchise verdict and a sell"}, {"forms": ["RNS: Half-year Report",
"RNS: Interim Results"], "why": "HY27 interims ~6-Nov-2026 –
compensation ratio >74% of revenue in a windfall half kills the
operating-leverage case"}, {"forms": ["RNS: Half-year Report", "RNS:
Annual Financial Report", "RNS: Miscellaneous"], "why": "Any
paragraph naming the NCA account freezing order or its disposition –
hard exit on further disclosure deterioration"}, {"forms": ["RNS:
Holding(s) in Company (TR-1)", "RNS: Director/PDMR Shareholding"],
"why": "First institutional holder or first open-market director
purchase would mark the end of orphan status"}, {"forms": ["RNS:
Interim Results (CKN)"], "why": "Clarkson prints – measure Braemar's
same-day move; a third declined read-across confirms the gap closes
only on Braemar's own print"}, {"forms": ["RNS: Annual Financial
Report", "RNS: Half-year Report"], "why": "Corporate Finance CGU
impairment – £0.4M headroom on £71.4M goodwill against a £73.7M
market cap"}], "catalyst_dates": [{"date": "2026-09-25", "what":
"HY27 trading update – inferred from the 25-Sep-2025 pattern;
company calendar shows 'no upcoming events' and Edison says
November, so the date is UNCONFIRMED", "confirmed": false}, {"date":
"2026-10-22", "what": "Scheduled review: order book >=$72.5M, no new
specific items outside the completed Southport earnout, lease note
and NCA contingency", "confirmed": false}, {"date": "2026-11-06",
"what": "HY27 interims – compensation ratio and any freezing-order
paragraph; date approximate, not company-confirmed", "confirmed":
false}, {"date": "2026-11-09", "what": "US Trade Representative
Section 301 port-fee suspension expires – swing factor for
newbuilding and sale-and-purchase volumes", "confirmed": false}],
"immediate_entry": {"action": "BUY", "approx_price": 222.0,
"size_pct_of_book": 0.27, "basis": "Tranche 1 of three toward a
0.8%-of-book full position (0.4x a 2% normal single-name sleeve –
the court fixed the 0.4x MULTIPLIER, not the percentage; rescale if
the sleeve constant differs). Limit inside the 216/226 touch, never
at the ask. Prices are 6-Aug and 12 days stale – re-poll live before
staging."}}

```